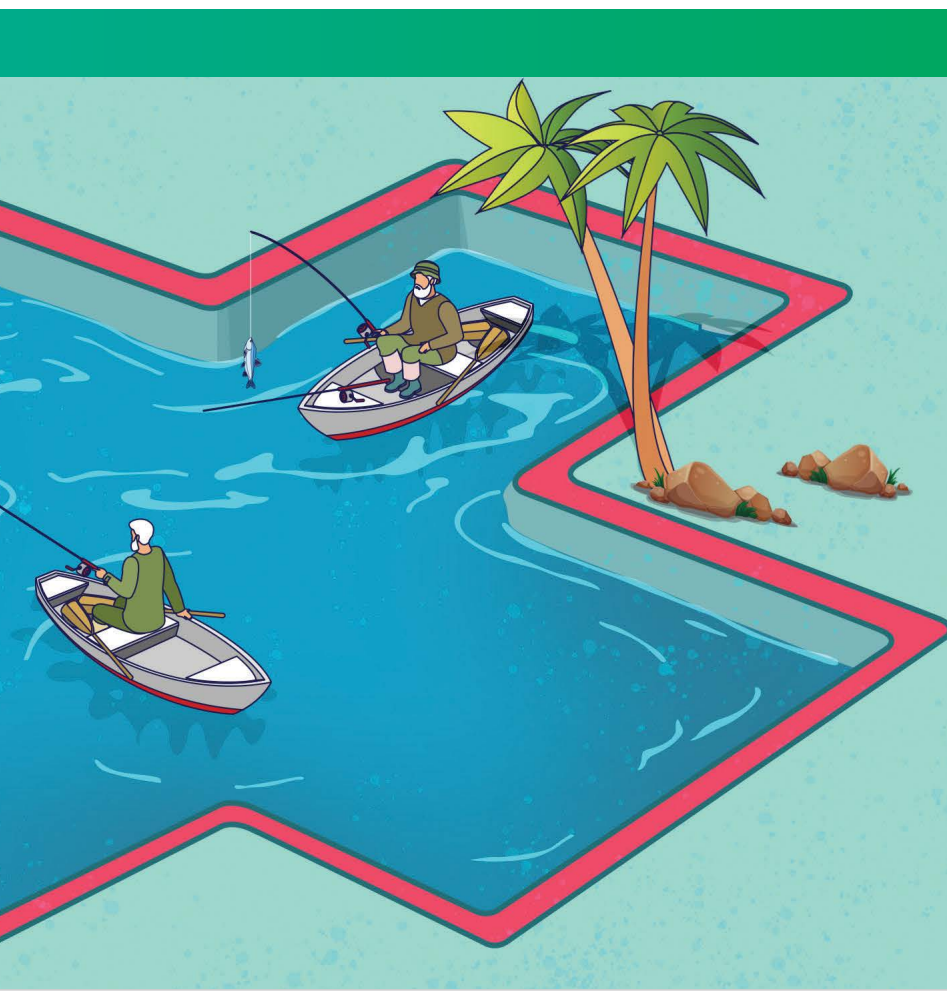




right customer,” says Singhal of PolicyBazaar.

Sarita Joshi, head of life and health insurance at insurance broker Probus, says people are also opting for top-up policies to save costs. In this, you buy a base policy depending on your financial capability, ₹5 lakh or ₹10 lakh, for instance, and buy a top-up of, say ₹20 lakh or ₹50 lakh. This is cost effective.

“If you go for a standalone base policy of ₹50 lakh, the premium will be very high. So, you buy a base cover of ₹10 lakh and a super top-up. Super top-up policies are cheaper because of a deductible. When there is a claim, it will be paid for by the base policy, and the super top-up policy will kick in if the claim amount is more than the base policy. Generally, routine claims are up to ₹5 lakh or ₹10 lakh,

which can be covered by the base policy. For higher claims, which may happen only in case of a major illness, the super top-up policy can kick in,” says Joshi.

However, the overall market is still significantly underpenetrated with cost, other than lack of awareness, being a key reason.

According to Swiss Re, insurance penetration (gross written premium as percentage of GDP) in India stood at 3.7% in 2024, with life insurance at 2.7% and non-life insurance at 1%. In contrast, in mature markets like the US and UK, penetration levels were significantly higher at 12.1% and 11.8%, respectively.

The government is looking to achieve universal health insurance coverage by 2033. It offers free coverage up to ₹5 lakh per family per year under the Ayushman Bharat



UDAYAN JOSHI
CHIEF OPERATING
OFFICER, SBI GENERAL
INSURANCE

“Medical inflation has consistently outpaced general inflation, driven by advances in medical technology, specialised treatments, rising hospitalisation costs, and greater utilisation of healthcare services”

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Pradhan Mantri Jan Arogya Yojana. The scheme covers 107.4 million poor and vulnerable families. In 2024, the coverage was expanded to all senior citizens aged 70 and above, irrespective of income. According to government data, 435.2 million Ayushman cards had been issued under the programme as on February 28, 2026.

Separately, employees of factories and various other establishments are covered under the Employees’ State Insurance Scheme. It covered 38.4 million people as on March 31, 2025.

Still, a lot of people are either un-insured or under-insured. Saxena of Bajaj General Insurance says there is a need to focus on the “missing middle,” those who fall outside government-subsidised insurance and are not financially strong enough to afford private health